

Q4 FY26 Earnings Beat Driven by Data Center Momentum

NVDA | NVIDIA Corporation | Technology

Analyst: Sarah Chen

Type: Earnings Review

Rating: Overweight (Maintain)

Conviction: High

Price Target: \$175

NVIDIA reported Q4 FY26 revenue of \$44.3B, beating consensus estimates of \$41.0B by 8%. Data center revenue surged 78% YoY to \$38.1B, driven by continued hyperscaler demand for H200 and Blackwell-architecture GPUs. Gaming revenue came in at \$3.8B, slightly above expectations.

Key Positives:

Blackwell ramp is ahead of schedule. Management noted that Blackwell GPU shipments exceeded internal forecasts by approximately 15% in the quarter, with supply constraints easing faster than anticipated. Customer concentration risk has modestly improved as enterprise adoption broadens beyond the top-4 hyperscalers.

Gross margins expanded to 74.8% (vs. 73.5% consensus), reflecting favorable product mix shift toward higher-ASP Blackwell systems and improved manufacturing yields at TSMC's N4 process.

Key Risks:

Customer concentration remains elevated with the top-5 customers representing approximately 52% of data center revenue. Additionally, emerging competition from custom silicon (Google TPUs, Amazon Trainium) and AMD's MI400 series could pressure market share in 2H 2026.

Our quantitative composite score has moved NVDA to rank #3 from #12, driven by strong momentum and quality factor improvements. The sentiment score also upgraded following the earnings beat and positive forward guidance.

Maintaining Overweight with High conviction. Price target raised to \$175 from \$155, reflecting higher earnings estimates and sustained premium valuation multiple.